

Unit 5 - Digital Promotions (Email Marketing and SEM)

Digital Marketing (DI03016011) - GTU Diploma IT Sem 3

16% weightage | 4 hours

How to use these notes: each topic is written the way you can copy it in the exam. **3 marks** = definition + 2-3 points. **4 marks** = add example or table. **7 marks** = write everything, with diagram/table and a real example. Lines marked ★ show where the topic was asked in a GTU paper (only 2 papers exist: Winter 2025 and Summer 2026).

Questions already asked from this unit (do these first)

- BOTH papers: W2025 Q5(a) [3M: promotional vs transactional emails] + S2026 Q5(a) [3M: what is email marketing, list types]
- W2025 Q5(b) [4M: metrics to measure success of email campaigns]
- W2025 Q5(b)OR [4M: SEO vs SEM with real-world examples] (also syllabus: PPC vs SEO)
- S2026 Q5(a)OR [3M: define Search ads, Display ads, Shopping ads]
- BOTH papers (7M each): W2025 Q5(c)OR [importance of ad extensions + any three with example] + S2026 Q5(c) [various ad extensions with example each]
- W2025 Q5(a)OR [3M: define ROAS and how it helps in decisions] + other SEM metrics
- S2026 Q5(c)OR [7M: Quality Score with example and its impact on ad ranking]
- W2025 Q5(c) [7M: simple SEM strategy for a local restaurant - campaign type, keywords, ad copy mockup]

5.1 Email marketing and types of emails

★ **BOTH papers: W2025 Q5(a) [3M: promotional vs transactional emails] + S2026 Q5(a) [3M: what is email marketing, list types]**

Email marketing: sending commercial messages (offers, news, updates) by email to a list of subscribers to promote products, build relationships and increase sales. It is cheap, direct, personal and measurable.

Types of marketing emails

- **Promotional emails** - offers, discounts, sales, new-product launches.
- **Transactional emails** - triggered by a user action: order confirmation, invoice, shipping update, password reset.
- **Newsletter / informational** - regular updates, tips, blog posts.
- **Welcome emails** - sent after sign-up.
- **Abandoned-cart emails** - remind about items left in cart.
- **Re-engagement / feedback / seasonal** emails.

Point	Promotional email	Transactional email
Purpose	To sell / promote	To give information about a user's action
Trigger	Sent by the company to many people (campaign)	Automatic, after the user's action
Permission	Needs subscriber's consent (opt-in); has unsubscribe link	Sent even without marketing opt-in
Open rate	Lower	Very high (people expect it)
Example	'Flat 20% off on cakes this weekend'	'Your order #1234 is confirmed' / OTP / password reset

5.1 Creating an email campaign

Steps to create a basic email marketing campaign

1. Set the **goal** (sales, sign-ups, awareness).
2. Build the **email list** with permission (opt-in forms) and segment it.
3. Choose an **email platform** (Mailchimp, SendGrid).
4. Design the email: catchy **subject line**, short content, images, clear **call to action (CTA)**, mobile-friendly template, unsubscribe link.
5. **Test** (A/B test subject lines) and schedule at a good time.
6. **Send** and then **analyse** the metrics and improve.

5.1 Email marketing analytics

★ W2025 Q5(b) [4M: metrics to measure success of email campaigns]

Metric	Meaning	Formula
Delivery rate	% of emails that reached inboxes	$\text{Delivered} \div \text{Sent} \times 100$
Bounce rate	% of emails not delivered (hard bounce: invalid address; soft bounce: full inbox / server down)	$\text{Bounced} \div \text{Sent} \times 100$
Open rate	% of delivered emails opened - shows subject-line success	$\text{Opened} \div \text{Delivered} \times 100$
Click-through rate (CTR)	% who clicked a link - shows content / CTA success	$\text{Clicks} \div \text{Delivered} \times 100$
Unsubscribe rate	% who opted out - shows list / content problems	$\text{Unsubscribes} \div \text{Delivered} \times 100$
Conversion rate	% who completed goal (purchase)	$\text{Conversions} \div \text{Delivered} \times 100$

Example: 10,000 sent, 200 bounced → delivered 9,800 (delivery 98%, bounce 2%). 2,450 opened → open rate 25%. 490 clicked → CTR 5%. 49 unsubscribed → 0.5%.

5.2 Introduction and importance of SEM

SEM (Search Engine Marketing): promoting a website by **buying ad space** on search engines and other networks (Google Ads), mostly on a **pay-per-click (PPC)** basis - you pay only when someone clicks.

Importance of SEM

- Instant visibility and traffic; exact **targeting** (keywords, location, device, time).
- Full control of **budget** and results are **measurable**.
- Reaches people **ready to buy** (high intent) and complements SEO.

5.2 PPC vs SEO

★ W2025 Q5(b)OR [4M: SEO vs SEM with real-world examples] (also syllabus: PPC vs SEO)

Point	SEO	SEM
Full form	Search Engine Optimization	Search Engine Marketing (mainly paid search / PPC)
Results	Organic (free) results	Paid ads shown at top, marked 'Ad / Sponsored'
Cost	No payment per click; needs time and effort	Pay per click (CPC) or per impression
Speed	Slow (3-6 months)	Instant - ads run as soon as approved
Traffic	Long-lasting	Stops when you stop paying
Trust / clicks	Users trust organic more	Users know it is an ad
Example	A blog ranks 1st for 'best study tips' due to quality content	Amazon / a travel agency bids on 'cheap flights' and its ad appears above organic results

5.2 Types of SEM campaigns

★ S2026 Q5(a)OR [3M: define Search ads, Display ads, Shopping ads]

- **Search ads:** text ads shown on **search results pages** above / below organic results when a user searches a matching keyword.
- **Display ads:** image / banner ads shown on **websites, apps and YouTube** in the Google Display Network - good for awareness and remarketing.
- **Shopping ads:** product listing ads showing **product image, price and store name** in search results - for online stores (uses Google Merchant Center).

Other campaign types (syllabus): paid video ads (YouTube), local service ads, app ads, social media ads.

5.2 Ad extensions

★ BOTH papers (7M each): W2025 Q5(c)OR [importance of ad extensions + any three with example] + S2026 Q5(c) [various ad extensions with example each]

Ad extensions (now also called 'assets') are **extra pieces of information** added to a Google text ad (beyond headline and description) to make it bigger and more useful. They are free to add - you pay only the normal click cost.

Importance

- Make the ad **larger and more visible** on the results page.
- Give more information (phone, location, links) → **higher CTR** (often 10-15% more).
- Improve **Ad Rank and Quality Score**, which can lower cost per click.
- Let customers act directly (call, visit, enquire) → more conversions.

Extension	What it shows	Example (a restaurant / travel agency)
Sitelink	Extra links to other pages of the site	'Menu', 'Book a table', 'Offers'
Callout	Short text highlighting benefits	'Free delivery', '24x7 support', 'No booking fee'
Call	Phone number / click-to-call button	'Call now: 98XXXXXXX'
Location	Address and map link	'Shop 5, Main Road - 1.2 km away'
Structured snippet	List of features under a header	'Cuisines: Gujarati, Chinese, Italian'
Price	Products / services with prices	'Goa package - from ₹12,999'
Promotion	Special offer or sale	'20% off on Diwali'
Image / Lead form / App	Pictures, in-ad enquiry form, app download link	Dish photos; form to enquire for a tour

Exam tip: For 'any three' choose Sitelink, Callout and Call (easiest). For 'various extensions' write 6-8 from the table.

5.2 Key SEM metrics and ROAS

★ W2025 Q5(a)OR [3M: define ROAS and how it helps in decisions] + other SEM metrics

Formula: ROAS (Return on Ad Spend) = Revenue generated from ads ÷ Cost of ads. Example: ads cost ₹5,000 and bring ₹20,000 sales → ROAS = **4** (4:1 or 400%).

How ROAS helps in decisions

- Shows **profitability** of each campaign: ROAS above break-even = profit; below = loss.
- Helps **increase budget** on high-ROAS campaigns and **pause / improve** low ones.
- Compare channels (Search vs Display vs Social) and set bidding targets (target ROAS).

Key SEM metrics

Metric	Meaning / formula
Impressions	Number of times the ad was shown
Clicks	Number of times the ad was clicked
CTR	Clicks ÷ Impressions × 100
CPC (cost per click)	Total cost ÷ Clicks
Conversion rate	Conversions ÷ Clicks × 100
Cost per conversion	Total cost ÷ Conversions
Quality Score	Google's 1-10 rating of keyword / ad / landing page quality
ROAS	Revenue ÷ Ad cost
Bounce rate	% of visitors leaving the landing page at once
Average position	Typical rank of the ad on the page

Example: 10,000 impressions, 500 clicks → CTR 5%; cost ₹5,000 → CPC ₹10; 25 conversions → conversion rate 5%, cost per conversion ₹200.

5.2 Quality Score

★ S2026 Q5(c)OR [7M: Quality Score with example and its impact on ad ranking]

Quality Score is Google's **rating from 1 to 10** (10 = best) of the quality and relevance of your **keyword, ad and landing page**. Higher score = better and cheaper placement.

Three components

1. **Expected click-through rate (CTR):** how likely people are to click your ad for that keyword.
2. **Ad relevance:** how closely the ad text matches what the user searched.
3. **Landing page experience:** relevant, useful, fast, mobile-friendly page with clear content.

Impact on ad ranking and cost

Formula: Ad Rank ≈ Bid × Quality Score (Google also considers ad extensions and context). Actual CPC ≈ (Ad Rank of the ad below ÷ your Quality Score) + ₹0.01.

- Higher Quality Score → **higher Ad Rank** → better position, even with a lower bid.
- Higher Quality Score → **lower cost per click** and more impressions.

Example

	Advertiser A	Advertiser B
Max bid	₹10	₹6
Quality Score	4	9
Ad Rank (Bid × QS)	40	54
Result	Lower position	Higher position and pays less per click

B wins the better position although its bid is lower. **How to improve:** use tightly grouped keywords, write ad text with the keyword, improve landing page speed and relevance, add ad extensions.

Applied SEM: local restaurant

★ W2025 Q5(c) [7M: simple SEM strategy for a local restaurant - campaign type, keywords, ad copy mockup]

Business: 'Spice Garden', a family restaurant. **Goal:** more table bookings and walk-ins within 5 km.

Part	Plan
Campaign type	Search campaign (people searching for food now) plus Local / Location ads (Google Maps listing with address and directions)
Targeting	Radius 5 km around the restaurant; mobile devices; mainly lunch (12-3) and dinner (7-10) time
Target keywords	restaurant near me, best family restaurant in [city], Gujarati thali near me, table booking restaurant, birthday party restaurant
Negative keywords	free, recipe, jobs, cheap (to avoid useless clicks)
Ad extensions	Call, Location, Sitelinks (Menu, Book table), Callout (Live music, Family seating)
Budget and bidding	₹300 / day; start with 'maximise clicks', later 'maximise conversions'
Measure	Clicks, calls, direction requests, bookings, cost per conversion, ROAS

Ad copy mockup

Spice Garden - Best Family Restaurant | Book a Table Now

Ad · www.spicegarden.example.com

Authentic Gujarati and North Indian food. Cosy family seating, open till 11 PM. Book your table today and get a free dessert!

Menu · Book a Table · Live Music · Call: 98XXXXXXX · 1.2 km away

Last-minute revision sheet - Unit 5

- Email types: promotional, transactional, newsletter, welcome, abandoned cart.
- Open rate = $\text{opened} \div \text{delivered}$; CTR = $\text{clicks} \div \text{delivered}$; bounce = $\text{bounced} \div \text{sent}$.
- SEM = paid search (PPC). SEO = free, slow; SEM = paid, fast.
- Campaigns: search, display, shopping, video, local service, app, social ads.
- Ad extensions: sitelink, callout, call, location, structured snippet, price, promotion.
- Quality Score (1-10) = expected CTR + ad relevance + landing page; Ad Rank $\approx \text{bid} \times \text{QS}$.
- ROAS = $\text{revenue} \div \text{ad cost}$.